

Generative AI Governance



Generative AI Governance



Engage and Think



XYZ Marketing Agency is adopting a new generative AI system to streamline the process of creating advertising content for its clients. However, there are concerns within the agency about ensuring the ethical use of AI and maintaining the integrity of their creative output.

How can XYZ Marketing Agency establish effective governance measures to ensure ethical and responsible use of their generative AI system while delivering innovative and impactful advertising content for their clients?

Learning Objectives

By the end of this lesson, you will be able to:

- 🔗 Identify the need for generative AI governance to ensure responsible and ethical AI usage
- 🔗 Describe the ethical frameworks and principles guiding generative AI development
- 🔗 Recognize ethical dilemmas in AI for informed decision-making in AI implementation
- 🔗 Identify legal risks in AI to ensure compliance and mitigate potential legal issues
- 🔗 Summarize the plan for creating and executing an AI governance framework





Introduction to Generative AI Governance

Generative AI Governance

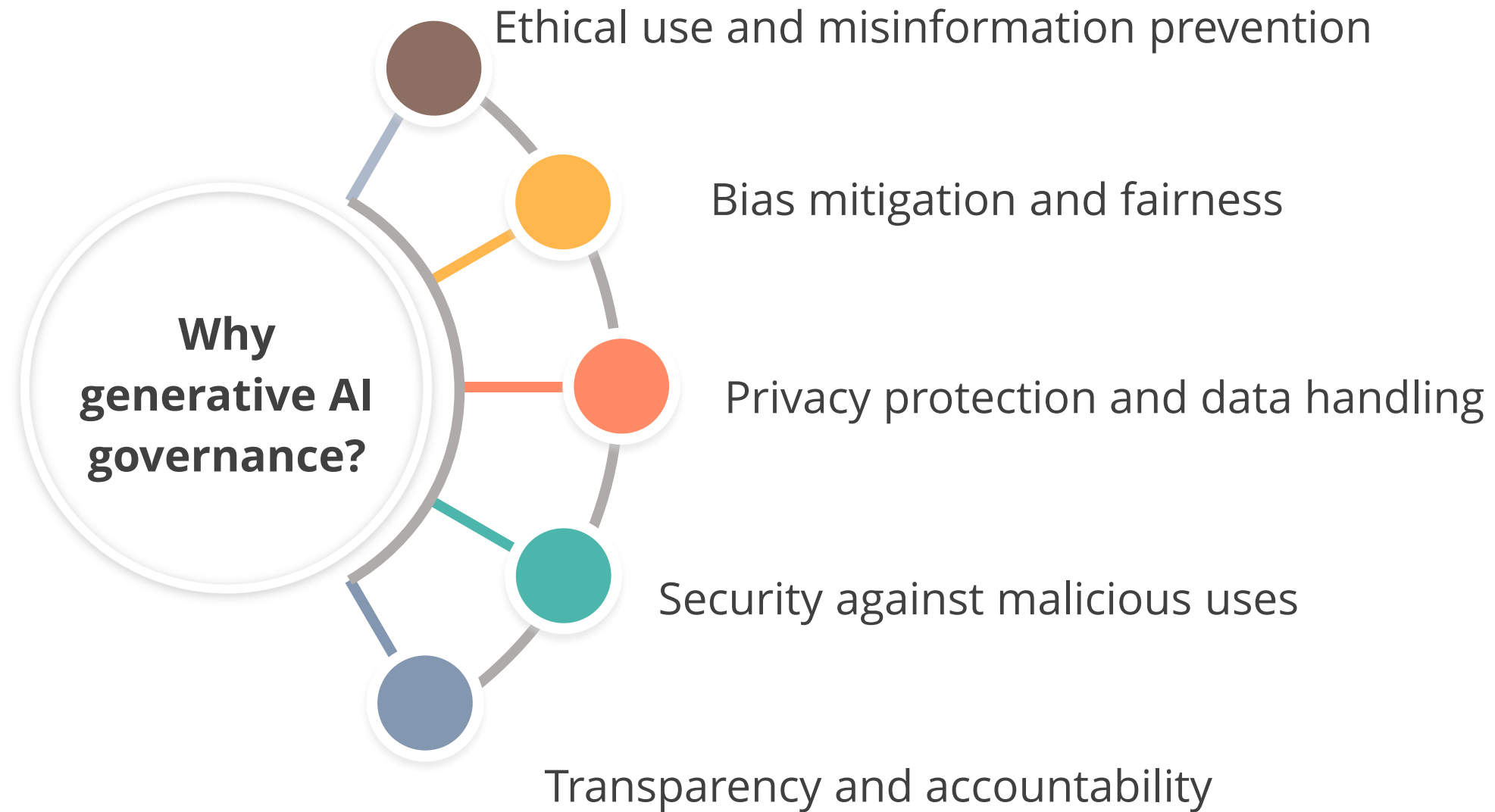
The rapid growth of generative AI brings opportunities as well as risks. Generative models can have wide-ranging and profound impacts on society.



Generative AI governance is a set of rules and procedures to ensure the ethical and responsible use of AI technology.

Need of Governance

Generative AI has made AI accessible to everyone, not just those who are tech-savvy.



Ethical Use and Misinformation Prevention

Generative AI can create content that is indistinguishable from human-generated content.



This raises **ethical concerns** regarding the creation and dissemination of misinformation, deepfakes, and other malicious uses.

Bias Mitigation and Fairness

Generative AI models can perpetuate biases present in training data, leading to biased outcomes in various applications.



This may result in unfair treatment and discrimination, especially in sensitive areas like hiring, law enforcement, and healthcare.

Privacy Protection and Data Handling

Generative AI may involve the processing of sensitive data for training or content generation, raising concerns about privacy violations and unauthorized use of personal information.



Security Against Malicious Uses

Unauthorized access and manipulation of AI models can lead to various cybersecurity threats.



Transparency and Accountability

Generative AI models are often complex, making it challenging to understand their decision-making processes.



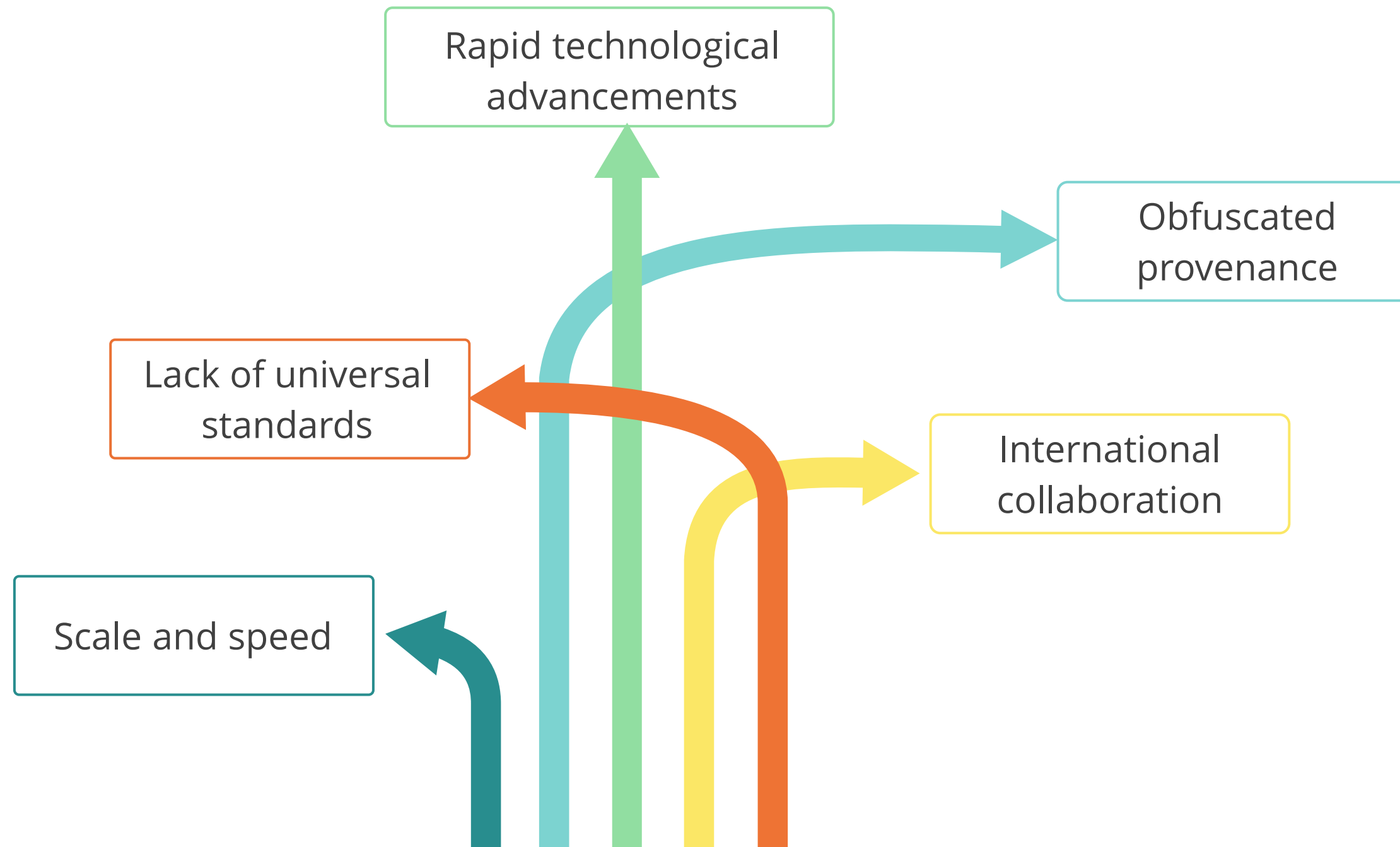
Example:



A financial institution uses a complex generative AI model for making investment decisions, but the outcomes are difficult to interpret.

Governance Challenges in Generative AI

There are several challenges that must be overcome to establish governance for generative AI. Here are a few major challenges:



Mitigating Risk

In striving for effective risk reduction in the domain of artificial intelligence governance, adopting a threefold guidance approach is crucial.



User Control

Users are empowered when they have a degree of control over the decisions made by algorithms for or about them.



For example

On a social media platform, users are provided with settings to control the algorithmic recommendations for their news feed.

Transparency for End Users

Transparency is crucial because users may feel uneasy about algorithmic decisions if they perceive a lack of understanding regarding those choices.

Black-box model



Data



Result

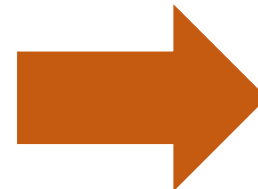


This is an insect.

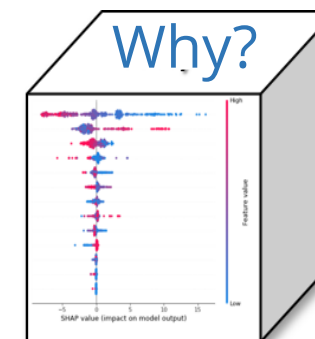
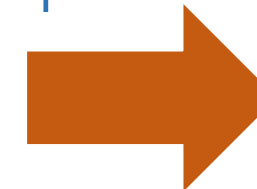
Explainable AI model



Data

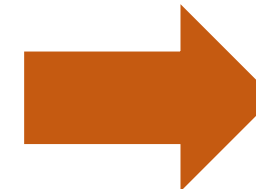


Explanation



It has 6 legs.

Result



This is an insect.

Transparency for End Users

Many free tools and third-party vendors are offering ways to understand AI models better.
Explainable AI helps with this.

Local
Interpretable
Model-agnostic
Explanations



SHAP

LIME and SHAP stand out as among the most widely adopted models for Explainable AI.

Auditing Algorithms

For models with high risks, the audit should examine the following three areas:

Inputs

- ✓ Data quality
- ✓ Bias in training data

Model

- ✓ Alternative models
- ✓ Statistical tests for model fit
- ✓ Model transparency
- ✓ Stress test against simulated data

Output

- ✓ Decisions with explanations
- ✓ Outliers: range of inputs and outputs

Quick Check



What, in your opinion, is the most significant challenge when it comes to balancing innovation and regulation in the governance of generative AI?

- A. Ensuring rapid technological advances while minimizing risks
- B. Achieving consensus on universal standards for responsible AI development
- C. Overcoming ethical concerns related to the use of generative AI
- D. Fostering collaboration between industry, researchers, and regulatory bodies



Ethical Frameworks and Principles

Guiding Principles for Building Trustworthy AI

On April 8, 2019, the European Union implemented a framework for the ethical and responsible utilization of AI. The report outlines three guiding principles for constructing trustworthy AI:



Lawful

AI must comply with legal statutes and local regulations.



Ethical

The AI system ought to demonstrate ethics and adhere to ethical principles and values.

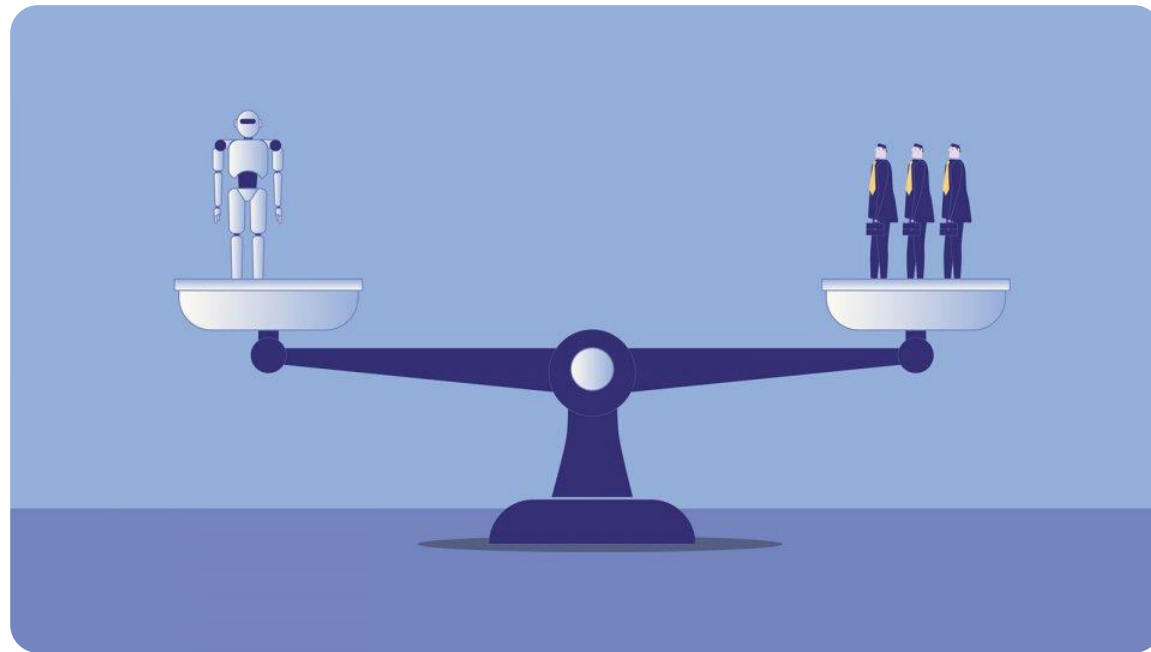


Robust

To prevent AI from causing widespread harm quickly, it needs to be both technically reliable and socially responsible.

What Is AI Ethics?

Ethics involves moral principles that help differentiate between right and wrong.



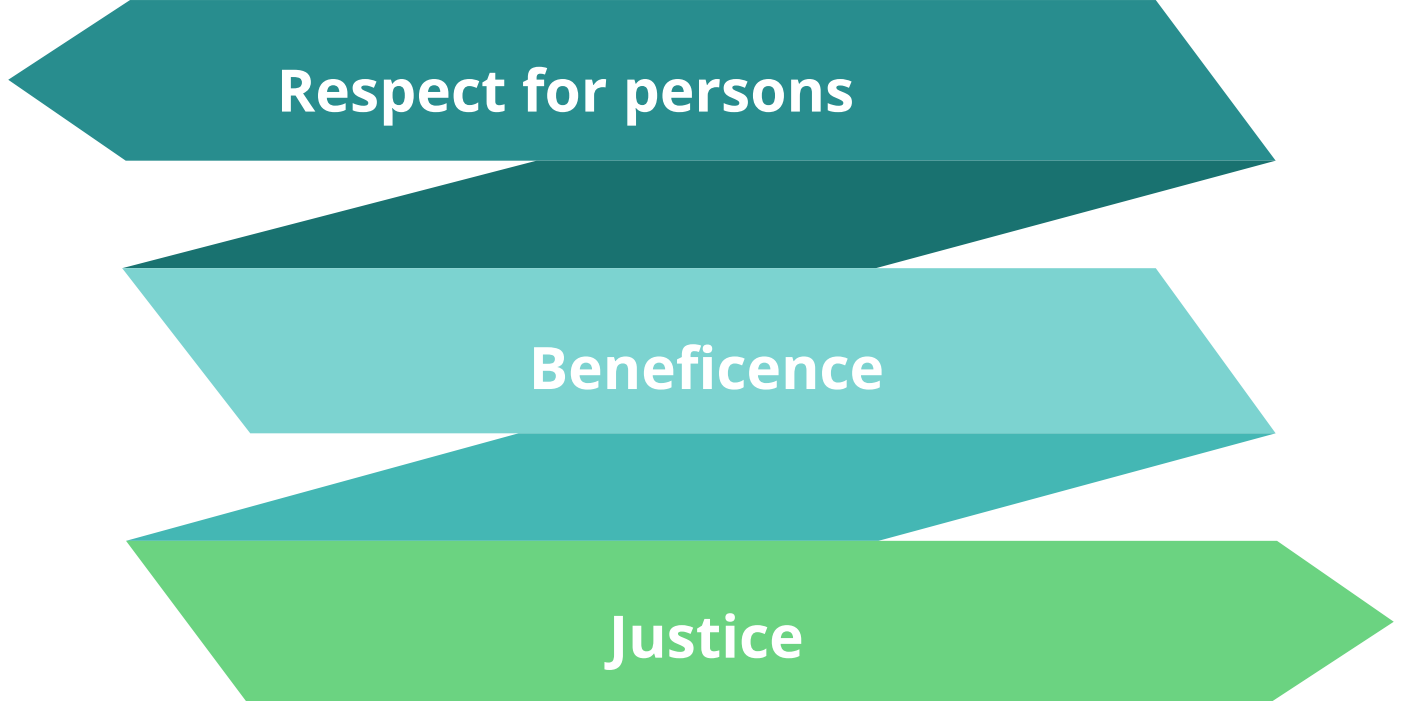
- AI Ethics is a multidisciplinary field within the realm of AI.
- Its primary focus is on enhancing the positive impact of AI.

The goal is to mitigate risks and minimize adverse outcomes associated with AI technologies.

Establishing Principles for AI Ethics

The Belmont report guides ethics in experimental research and algorithm development as AI rules evolve.

Three main principles shaping experiments and algorithm design derived from the Belmont report are:



Respect for persons

Beneficence

Justice

Respect for Persons



- It acknowledges individual autonomy.
- It expects researchers to safeguard those with diminished autonomy, such as due to illness, mental disability, or age restrictions.



- It emphasizes the importance of informed consent.
- Individuals must be aware of experiment risks and benefits, with the freedom to choose participation or withdrawal before and during the experiment.

Beneficence



- It draws inspiration from the healthcare ethics concept of **do no harm**.

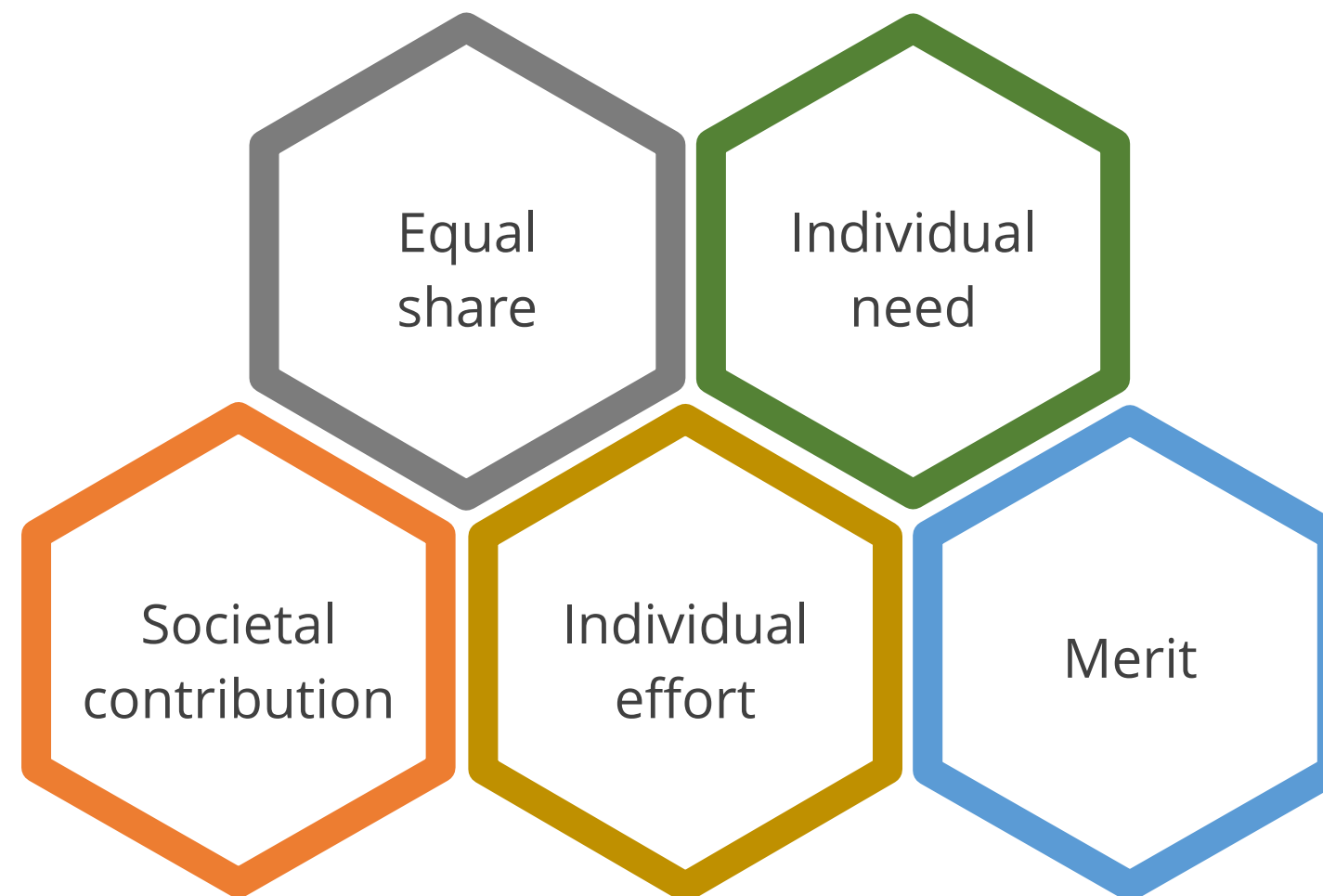


- When AI is used, there's a concern that computer programs might exacerbate biases, such as those related to race or gender.

Justice

This principle addresses concerns related to fairness and equality, questioning who should enjoy the advantages of experimentation and machine learning.

The Belmont Report outlines five methods for distributing the burdens and benefits of using AI, including:



Quick Check



Which of the following is a fundamental requirement for AI systems?

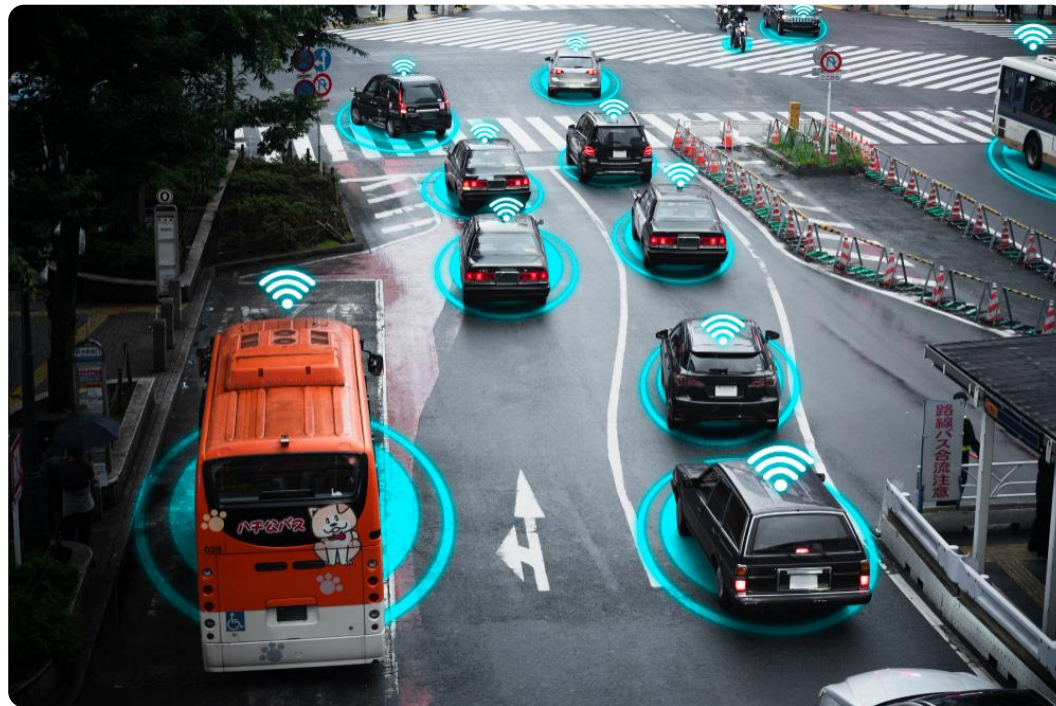
- A. Adhering to industry standards and guidelines
- B. Complying with legal statutes and local regulations
- C. Maximizing profit margins for stakeholders
- D. Prioritizing speed and efficiency over accuracy



Ethical and Moral Dilemmas in AI

A Case Study on Autonomous Vehicles

Autonomous vehicles, powered by AI, have the potential to transform global transportation.



Yet, this innovation raises ethical questions, particularly in decision-making algorithms.

This case study delves into the complexities of AI in autonomous vehicles, examining the ethical choices these algorithms may confront in critical situations.

A Case Study on Autonomous Vehicles

A critical challenge lies in developing algorithms that can navigate complex ethical decisions.



A special consideration is essential in situations where ensuring the safety of vehicle occupants may come into conflict with the safety of pedestrians or other drivers.

A Case Study on Autonomous Vehicles

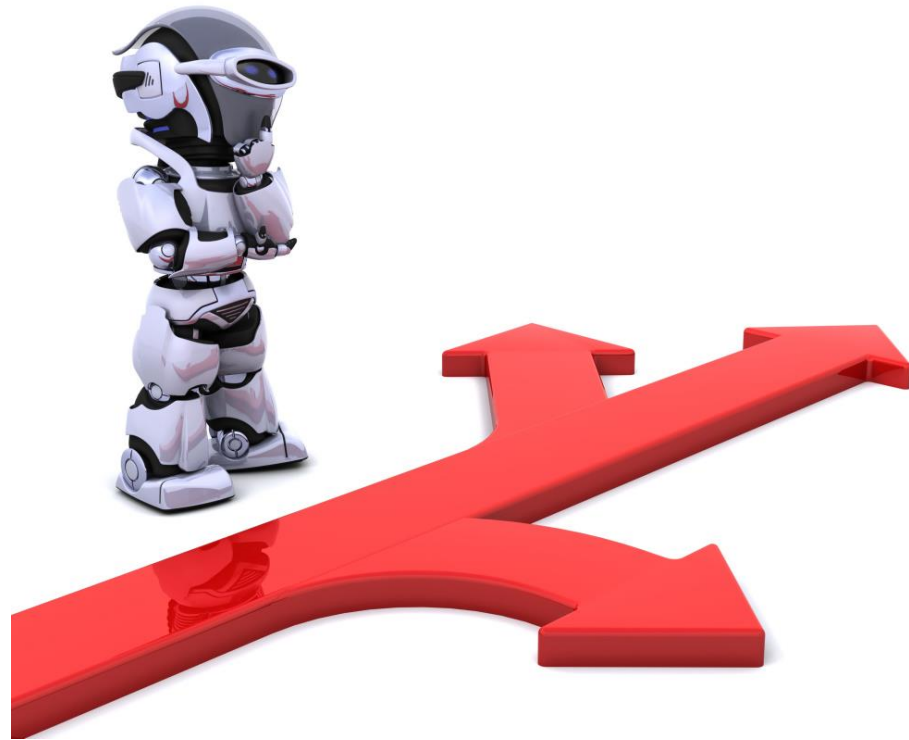
Consider a hypothetical situation where an autonomous vehicle is navigating through a busy urban area.



Suddenly, a child runs into the road, and the vehicle's AI system must make a split-second decision to avoid a collision.

A Case Study on Autonomous Vehicles

The available options include:



- » Trying to avoid hitting the child but possibly causing an accident with other cars or people
- » Applying the brakes and potentially injuring the child
- » Continuing the current path and prioritizing the safety of the vehicle occupants

A Case Study on Autonomous Vehicles

Ethical dilemmas to consider include:

Value of human life



?

How should the AI algorithm prioritize the value of human life?

?

Should it prioritize the safety of those in the vehicle over pedestrians, or should it treat all lives equally?

A Case Study on Autonomous Vehicles

Ethical dilemmas to consider include:

Legal and liability issues



In the event of an accident, who is held legally responsible?

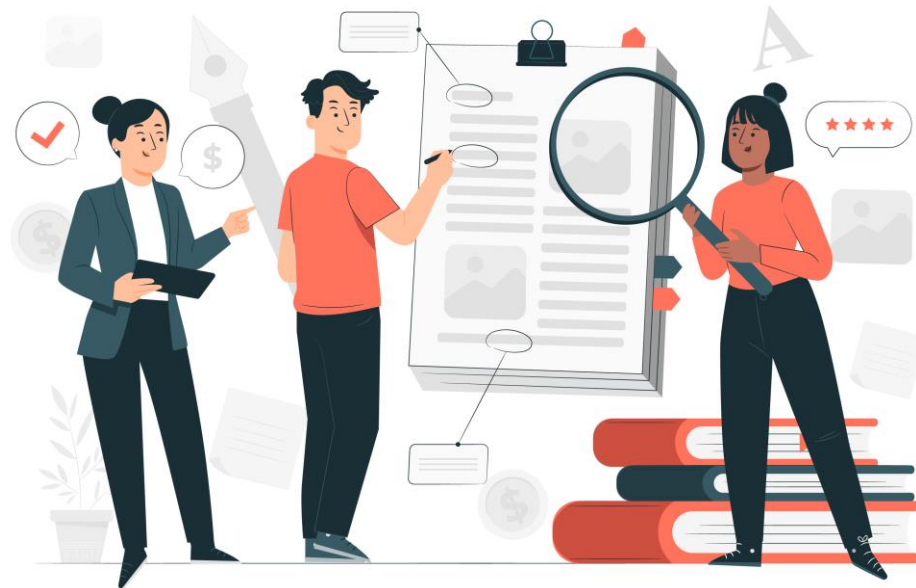


Should the AI system prioritize adherence to traffic laws, even if it results in causing harm to individuals?

A Case Study on Autonomous Vehicles

Ethical dilemmas to consider include:

Transparency and accountability



How transparent should the AI decision-making process be?



Is it appropriate for users and the public to have transparency into how the algorithm reaches ethical decisions, or is it acceptable for this process to remain a proprietary technological secret?

A Case Study on Autonomous Vehicles

Ethical dilemmas to consider include:

Cultural and societal variations



Should the AI system adjust its decision-making according to cultural or societal norms?



For instance, different cultures may hold diverse perspectives on the value of individual life or acceptable levels of risk.

A Case Study on Autonomous Vehicles

Ethical dilemmas to consider include:

Long-term consequences



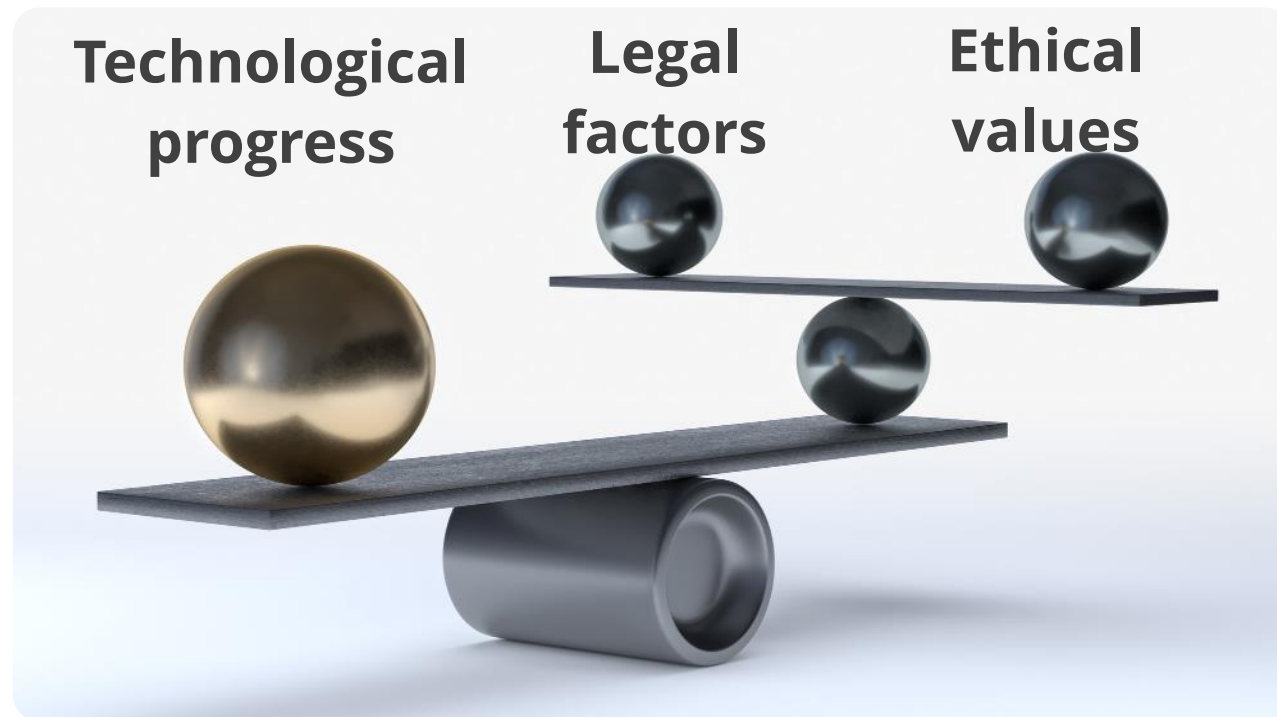
How could the decisions of the AI system affect long-term public trust in autonomous vehicles?



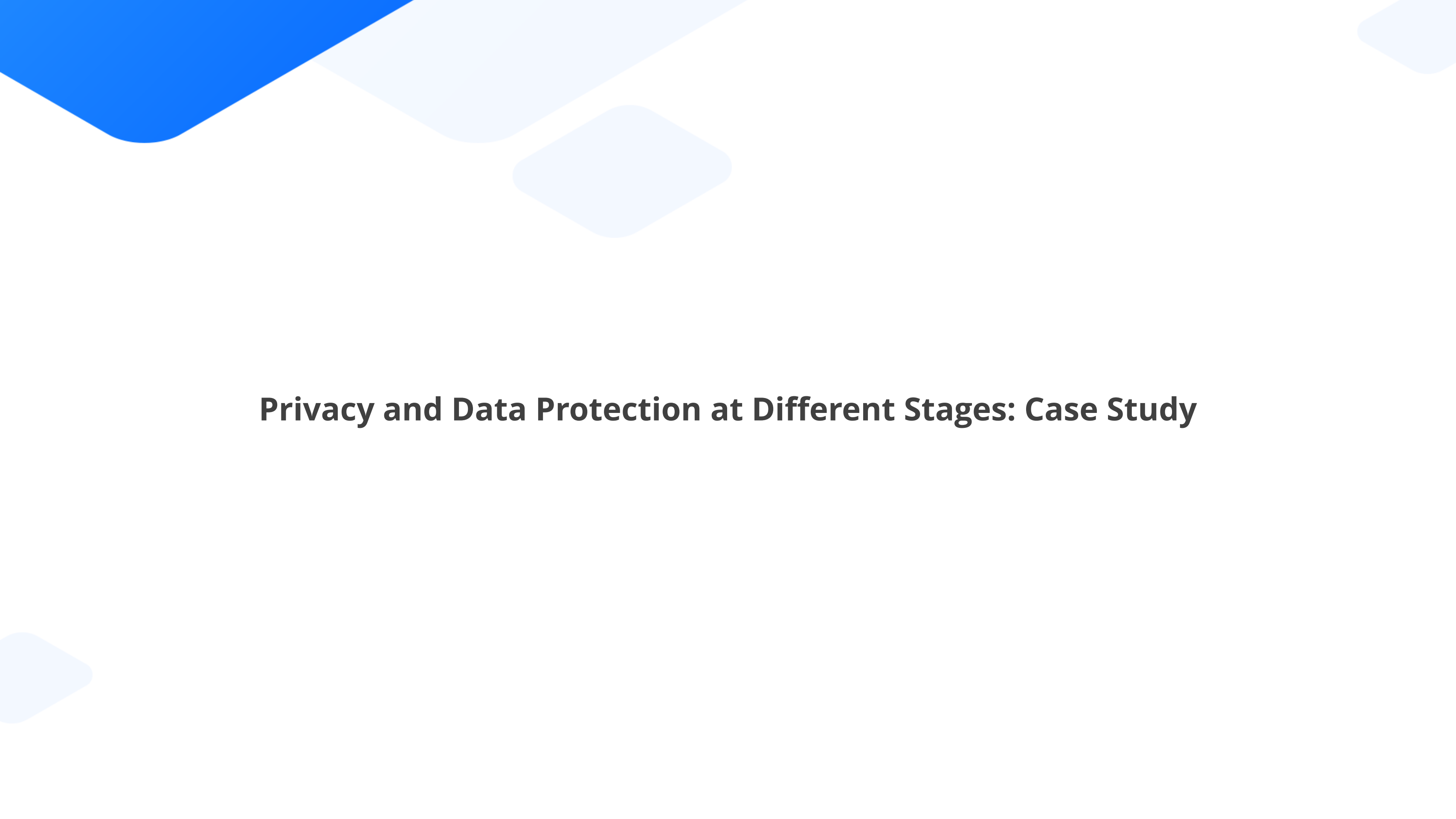
Could a prominent incident have a detrimental impact on the adoption of this technology?

Conclusion on Autonomous Vehicles

This case study showcases the complex ethical challenges that emerge in AI applications, especially in situations with autonomous vehicles.



Achieving a positive societal impact through the development and deployment of AI technologies demands a thoughtful balance between three components.



Privacy and Data Protection at Different Stages: Case Study

GuardianAI: Case Study

In the realm of personalized health monitoring, it is essential to ensure robust safeguards against privacy and data protection challenges. GuardianAI is a healthcare application.



- » This case study vividly illustrates how GuardianAI effectively tackles privacy and data protection challenges throughout various stages.
- » While guaranteeing a health monitoring experience that prioritizes user-centricity and security.

GuardianAI: Case Study

New user Sarah installs GuardianAI, granting permissions for data sources like wearables, smartphone sensors, and manual input.

- GuardianAI ensures that users have a comprehensive understanding of the data collected and its purposes.
- Clear explanations are provided during the onboarding process, breaking down data types to enhance clarity.
- The app seeks explicit consent from users and includes easily accessible privacy policies and terms of service.



Challenge addressed

Informed consent and data collection transparency

GuardianAI: Case Study

Long-time user John values GuardianAI's personalized health insights but worries about detailed recommendations and potential misuse of sensitive information.

- GuardianAI addresses this concern by employing advanced anonymization techniques.
- Additionally, it ensures a balance between personalization and individual user privacy by aggregating data at a group level.



Challenge addressed

Personalization algorithm and data anonymization

GuardianAI: Case Study

Emma, concerned about privacy, opts to limit the data shared with GuardianAI. The challenge is to offer users granular control.

- GuardianAI features a user-friendly dashboard tailored for Emma's convenience.
- Within this dashboard, users can adjust consent settings, opt out of specific data categories, or request account deletion as needed.
- Such functionality ensures that individuals, such as Emma, maintain autonomy over their privacy preferences.



Challenge addressed

Personalization algorithm and data anonymization

GuardianAI: Case Study

Cybersecurity expert Michael evaluates security measures in GuardianAI.

- The app utilizes end-to-end encryption to ensure secure data transmission.
- Additionally, robust encryption protocols are implemented for data storage purposes.
- Users are provided with the capability to remotely wipe data in case of a lost device, thereby enhancing security measures.
- Furthermore, GuardianAI regularly updates its security measures to stay ahead of emerging threats.



Challenge addressed

Data encryption and security measures

GuardianAI: Case Study

In the face of a potential data breach causing concerns for users like David, GuardianAI quickly initiates its incident response plan.

- The app isolates the breach, communicates transparently with users, and takes swift action to address vulnerabilities.
- This underscores the app's commitment to user trust through honest and open communication.



Challenge addressed

Incident response and transparent communication

GuardianAI: Case Study

It expands globally, with users like Maria wanting to ensure compliance with diverse data protection regulations.

- Regular audits are conducted to ensure alignment with the General Data Protection Regulation (GDPR), the Health Insurance Portability and Accountability Act (HIPAA), and other pertinent laws.
- This provides reassurance to users such as Maria regarding the stringent standards applied in handling health-related data.



Challenge addressed

Regulatory compliance and audits

GuardianAI: Case Study

It boosts user awareness by integrating interactive tutorials for users like Olivia.

- These initiatives educate users on the importance of privacy, promote the use of strong passwords, and offer tips for maintaining a secure digital health profile.
- This proactive approach ensures that users, like Olivia, are well-informed about privacy best practices.



Challenge addressed

User education and awareness

GuardianAI: Case Study

Feedback from users, such as Alex, drives ongoing enhancements to GuardianAI's privacy features.

- The app proactively seeks user input through surveys.
- Privacy policies are iteratively updated based on user concerns and evolving standards.
- This demonstrates a commitment to staying ahead of emerging privacy challenges.



Challenge addressed

Continuous improvement and feedback loop

Discuss

Discuss the following:

1. Out of all the practices you observed, which practice do you think is critical for GuardianAI?
2. Do you suggest any areas for improvements for GuardianAI to make the governance more robust?

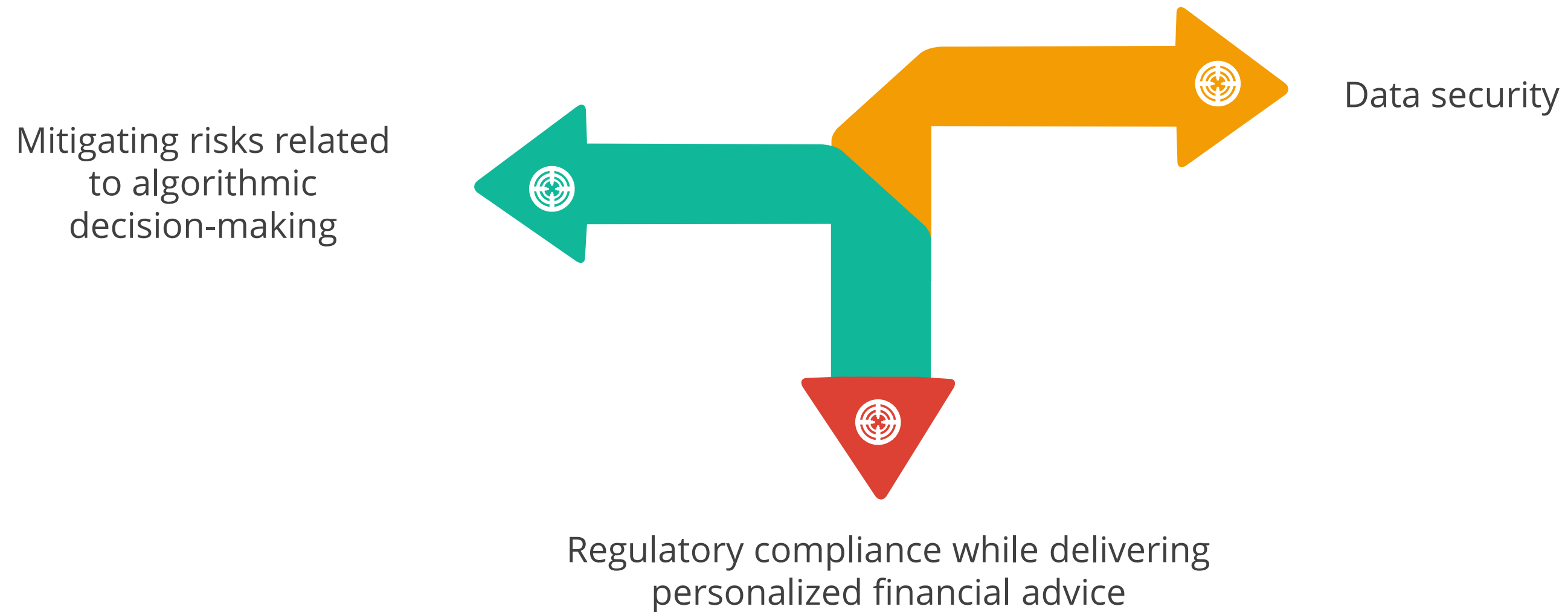




Fairness and Bias Mitigation: Case Study

SecureAI: Case Study

This case delves into the incorporation of risk assessment and planning in SecureAI, an AI-driven financial advisory application. It centers on the following aspects:



SecureAI: Case Study

Maria, a SecureAI user, observes a potential bias in investment recommendations favoring certain industries. The challenge is to identify and correct algorithmic biases:

- SecureAI conducts regular fairness assessments.
- AI auditing tools are utilized to identify and correct biases in recommendation algorithms.



Challenge addressed

Algorithmic bias and fairness assessment

SecureAI: Case Study

Security-conscious user, John expresses worries about the safety of his financial data.

- The app ensures users maintain control over their financial information.
- Security measures are transparently communicated, fostering trust in the application's data protection capabilities.



Challenge addressed

Data security and privacy concerns

SecureAI: Case Study

Emma receives a complex investment suggestion from SecureAI and seeks a clearer understanding of the decision-making process. The challenge is to enhance transparency and explainability.

- SecureAI integrates explainability features, offering users like Emma detailed insights into how the AI arrived at specific recommendations.
- This fosters user trust and comprehension.



Challenge addressed

Explain transparency in decision-making

SecureAI: Case Study

Financial expert Michael examines SecureAI's compliance with financial regulations.

- The app undergoes thorough compliance checks, aligning with frameworks like SEC guidelines.
- SecureAI ensures its algorithms and practices comply with industry standards, instilling confidence in users like Michael regarding the platform's legality and accountability.



Challenge addressed

Compliance with financial regulations

SecureAI: Case Study

Olivia is concerned about potential risks in her investment portfolio.

- SecureAI includes an educational module within the app, offering users insights into the inherent risks of various investment strategies.
- The app encourages informed decision-making based on a comprehensive understanding of the risks involved.



Challenge addressed

User education on investment risks

SecureAI: Case Study

Alex raises concerns about potential system failures affecting financial transactions.

- SecureAI integrates robust contingency plans that include failover systems, guaranteeing continuous service even in the face of technical disruptions.
- The platform incorporates backup protocols, ensuring uninterrupted operations during technical disruptions and enhancing overall reliability.



Challenge addressed

Contingency planning for system failures

SecureAI: Case Study

User feedback, including from Maria, drives continuous improvement in SecureAI's risk assessment models.

- The application regularly watches user input, conducts risk assessments, and updates algorithms to keep up with changing market conditions.
- It underscores a commitment to stay ahead of emerging risks in the dynamic financial landscape.

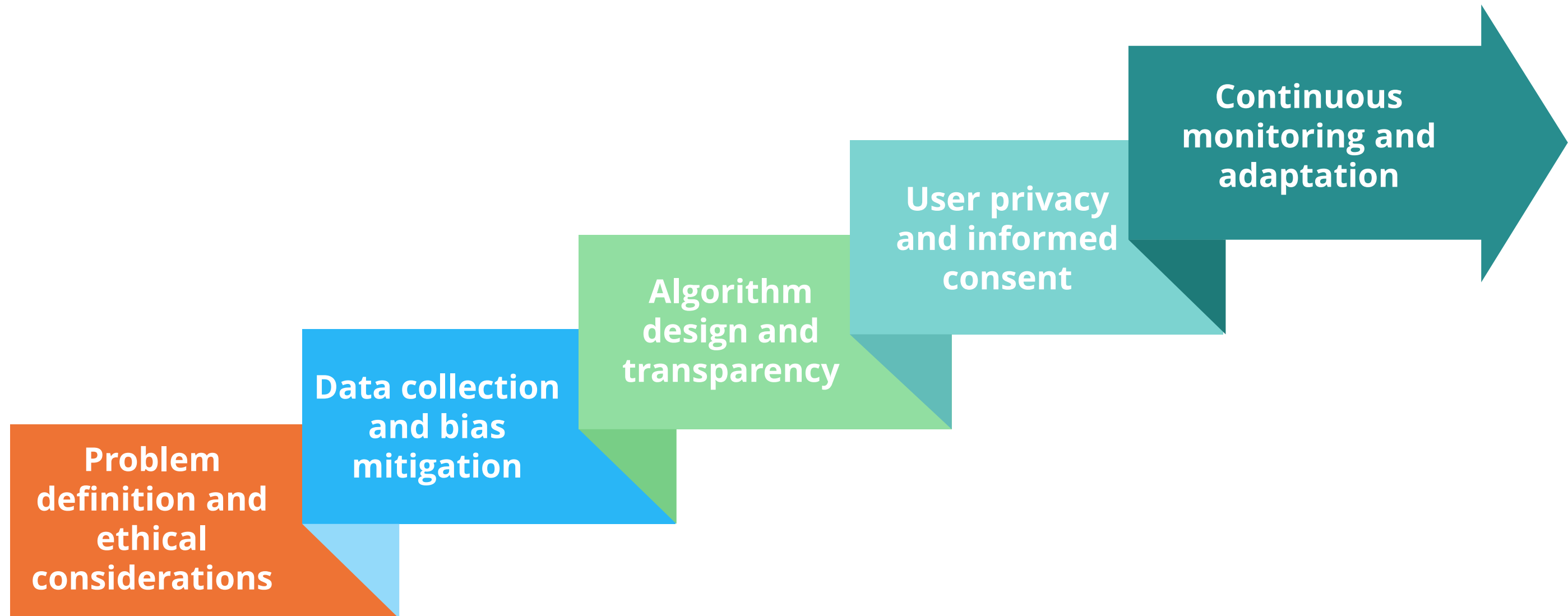


Challenge addressed

Continuous risk monitoring and improvement

Ethical AI Development Lifecycle

After going through the case-studies, the following ethical AI development lifecycle can be created:



Discuss

Discuss the following:

1. Out of all the practices you observed, which practice do you think is the most critical for SecureAI?
2. Do you suggest any area of improvement for SecureAI to make the governance more robust?





Governance Structures and Committees

Establishing AI Governance Committees

AI governance committee includes representatives from the key functional areas of the organization:



The committee might also require tapping into external resources and expertise.

Role of the Committee

The role of the committee is to supervise the creation and implementation of the AI governance framework. This includes the following:

1

Define critical roles and responsibilities concerning the supervision, design, development, and utilization of AI.

2

Create AI guiding principles.

3

Define and document the scope of the AI governance program.

Role of the Committee

4

Identify and supervise policies, procedures, and training to facilitate responsible AI design, usage, and oversight.

5

Recognize the need for human oversight in identifying inaccuracies, biases, and ensuring quality assurance.

6

Create a procedure for escalating and evaluating high-risk AI use cases.

Role of the Committee

7

Provide reports to senior management and the board.

8

Aid in the management of incidents related to AI usage.

Principles to Practice

For effective practice of AI governance, organization must consider the following areas:



Internal governance structures and measures

- Define roles and responsibilities within your organization.
- Establish standard operating procedures (SOPs) for monitoring and mitigating risks.
- Implement training for staff members.

Principles to Practice

For effective practice of AI governance, organization must consider the following areas:



Determining the level of human involvement

- Ensure an appropriate level of human participation.
- Minimize the potential harm to individuals.

Principles to Practice

For effective practice of AI governance, organization must consider the following areas:



Operations management

- Reduce bias in data and models.
- Adopt a risk-based approach for measures such as explainability, robustness, and regular tuning.

Principles to Practice

For effective practice of AI governance, organization must consider the following areas:

A green icon representing a person, with a circular head and a rectangular body. The text "Stakeholder interaction and communication" is written in white inside the body. The icon is positioned on a grey oval shadow.

Stakeholder interaction and communication

- Communicate AI policies to users.
- Enable users to offer feedback, where possible.
- Ensure communications are easily understandable.

Mastercard: Case Study

This case study demonstrates the internal governance structures and measures at Mastercard.



Mastercard: Case Study

Mastercard has established distinct roles and responsibilities for the governance council. Each member of the council contributes their expertise to the decision-making process.

**Chief data officer and
chief privacy officer**

Chief information
security officer

Data science teams

Review the proposal for implementation of AI
to ensure that:

- Data is suitable for AI purposes.
- AI is employed for ethical objectives.
- AI impact on an individual is reasonable, with potential harms (including risks to privacy and data protection) adequately mitigated.

Mastercard: Case Study

Mastercard has established distinct roles and responsibilities for the governance council. Each member of the council contributes their expertise to the decision-making process.

Chief data officer and
chief privacy officer

**Chief information
security officer**

Data science teams

- The chief information security officer will ensure the implementation of security by design.

Mastercard: Case Study

Mastercard has established distinct roles and responsibilities for the governance council. Each member of the council contributes their expertise to the decision-making process.

Chief data officer and
chief privacy officer

Chief information
security officer

Data science teams

- Data science teams, which build and deploy AI, maintain ongoing communication with the data office and the privacy office.
- This process guarantees a continuous exchange of information about necessary governance and the lifecycle of a specific AI application's implementation.

Mastercard: Case Study

Mastercard has additionally instituted risk management and internal controls to manage the risks associated with AI deployment which include:

- Evaluating proposed AI activities through risk scoring
- Aligning assessment factors with corporate initiatives
- Considering types and sources of data in risk evaluation
- Considering the potential impact on individuals from AI decisions

If an AI project has been identified as high risk, it will be referred to the governance council for review.

Determining the Level of Human Involvement

Before implementing AI solutions, organizations should determine their commercial objectives for utilizing AI.

They should:

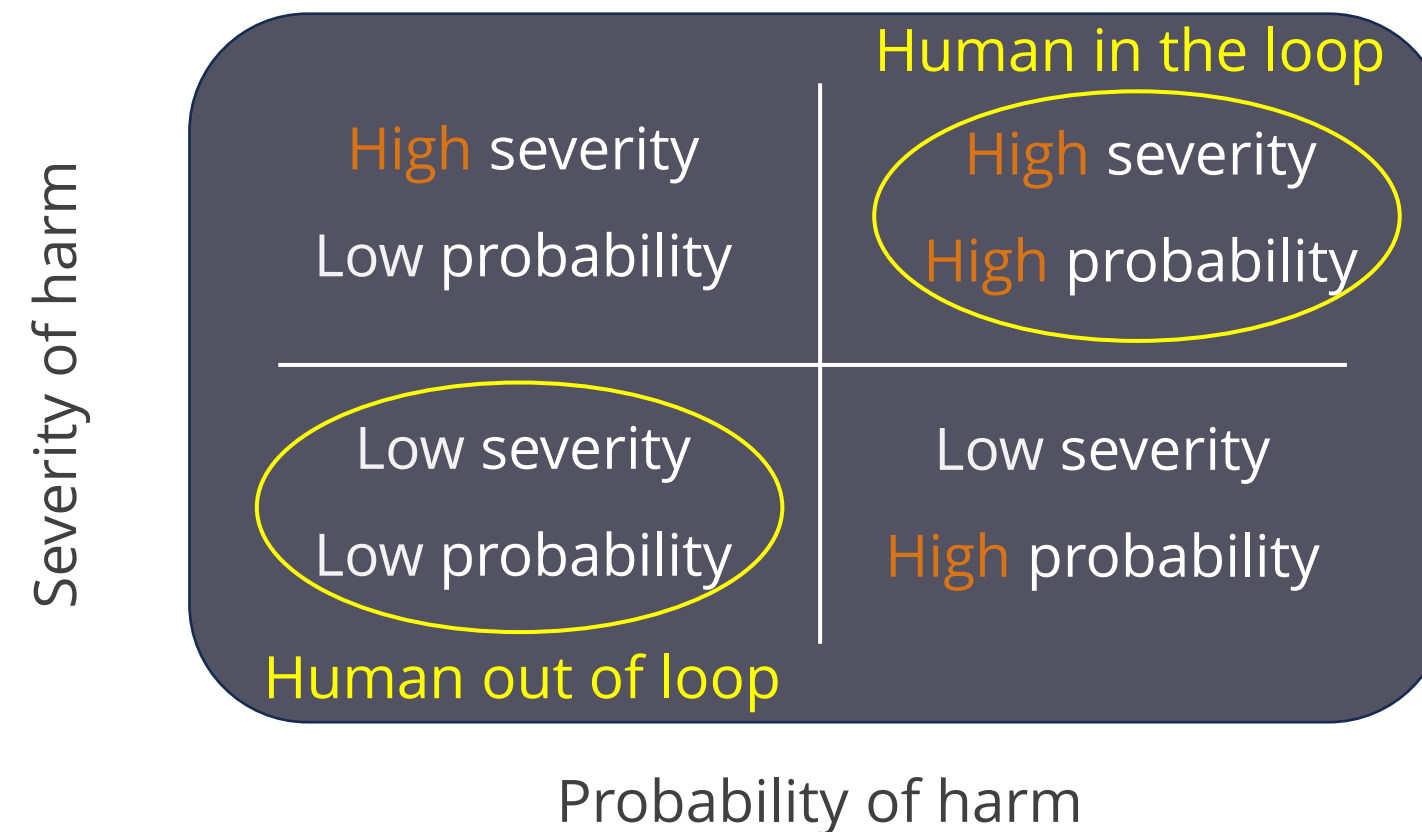
Evaluate these objectives against potential risks tied to integrating AI into decision-making.

Conduct a thorough assessment before implementing AI solutions.

Determining the Level of Human Involvement

Before implementing AI solutions, organizations should determine their commercial objectives for utilizing AI.

The matrix below helps to decide the level of human involvement:



Case study: Forecasting Cards Used for Travel With Ethical AI Governance

This case study illustrates how VISA proactively integrates governance practices into its AI processes, acknowledging the pivotal role of trust in the adoption of its tools and promotions.

The VISA logo is displayed in a large, bold, blue, italicized sans-serif font. The letters are closely spaced and have a slight slant to the right. The background is white with light blue abstract shapes in the corners.

Forecasting Cards Used for Travel With Ethical AI Governance

VISA uses data analytics and machine learning, including the travel prediction tool, to help its issuing banks predict which cards are most likely to be used for travel.



- ✓ Issuing banks incorporate VISA's forecasts into their decision-making process.
- ✓ The past success of card promotions is analyzed alongside the forecasts.
- ✓ Eligible cardholders receive travel-related benefits based on these considerations.

VISA proactively integrates governance practices into its AI processes, acknowledging the pivotal role of trust in the adoption of its tools and promotions.

Forecasting Cards Used for Travel With Ethical AI Governance

VISA prioritized to establish a thorough governance structure that examined:



The use of data to ensure adherence to ethical data principles.



Protection and management of personal data and associated risks.



Model risk management to audit and oversee AI solutions, assessing risk materiality.

Employee Enablement to Build a Responsible AI Culture

VISA consistently establishes robust governance structures, fostering accountability throughout the end-to-end development and deployment of its AI models.

VISA promotes a comprehensive and accountable AI program by:

- » Fostering ethical data and AI practices within relevant employees is essential for a robust AI program.
- » Conducting regular training sessions on compliance, legal requirements, and key controls is vital for ensuring adherence.
- » Training curriculum for its data scientists. Topics covered include data protection, ethical data use, and responsible AI.
- » Handling AI systems are mandated to undergo assessments for specialized training and knowledge retention.

Manual Intervention

To establish robust governance structures for AI models, VISA ensures manual intervention when necessary.

The Travel Predict operates in the following way:

Step 1

Travel Predict assigns a travel propensity score to each VISA card based on past transaction behavior.

Step 2

These scores are then shared with issuing banks, guiding them in devising optimal strategies for engaging their cardholders.

Manual Intervention

To establish robust governance structures for AI models, VISA ensures manual intervention when necessary.

Throughout the model development of Travel Predict, VISA monitors accuracy and quality metrics at an aggregate level during model selection, training, and validation.

The issuing bank performs the final card filtering and assesses which cardholders receive the offer.

Manual Intervention

VISA, as the model provider, and the bank as the model deployer, utilize a human-over-the-loop approach. This approach grants VISA the flexibility for human intervention in AI decision-making when needed.

In adopting this approach, VISA considered these three key factors:



Importance of the AI solution for cardholders of the issuing bank

Effect on the bank's marketing campaign

Recognition of the global scale with millions of cards in use, rendering manual review of each forecast impractical

Manual Intervention

Travel Predict's AI method is crucial for VISA to address different factors, helping them give scoring advice to banks effectively.

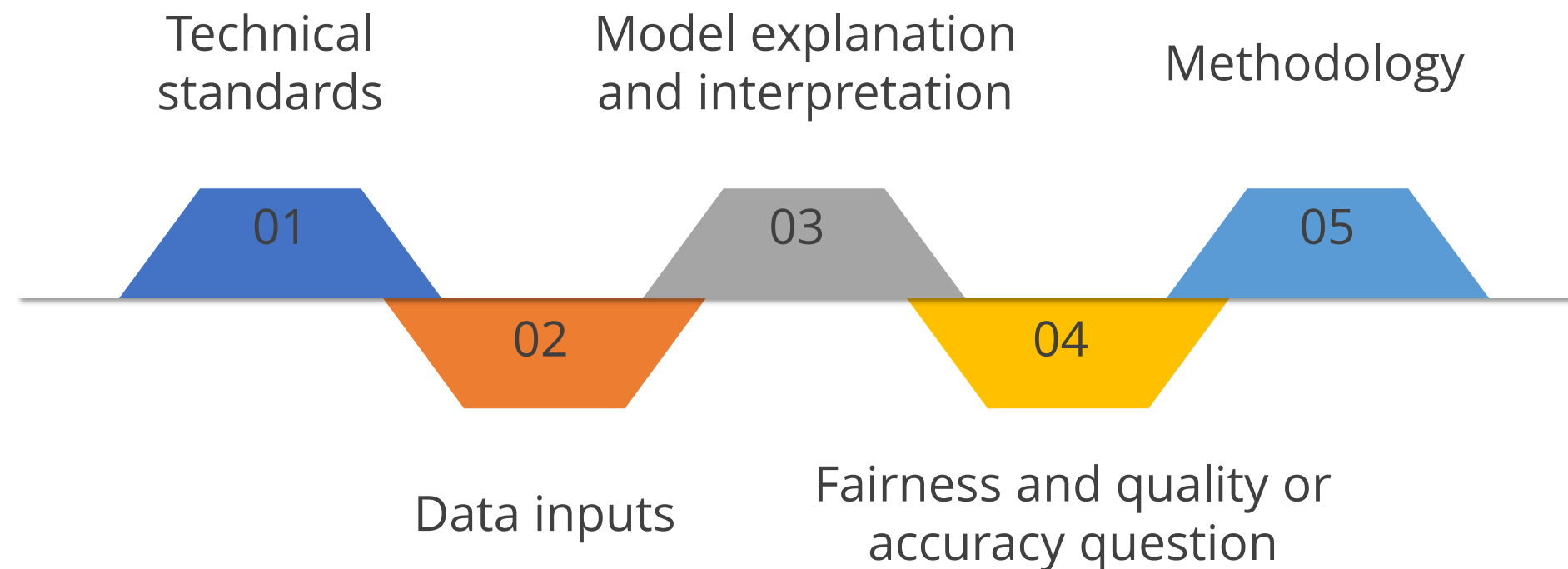


By leveraging Travel Predict's AI capabilities, VISA can effectively optimize the success of its campaigns by delivering scoring recommendations to issuing banks at scale.

Ensuring Transparency and Explainability

Ensuring documentation is in place to explain Travel Predict's development to internal stakeholders, including internal audit teams when necessary.

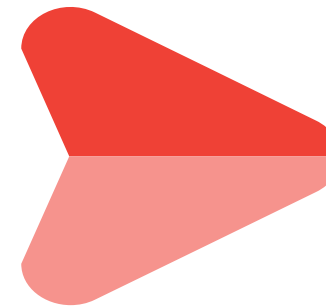
These documents include:



Ensuring Transparency and Explainability

To assure issuing banks about Travel Predict's reliability for effective marketing, the following information is shared:

Top predictor
scores



AI model's key performance
indicators on accuracy
and precision

This information explains how Travel Predict works and determines the travel propensity score for cards.

Proactive Engagement

VISA employs a model risk management process to evaluate the significance of AI solutions for clients, adding another layer of accountability.



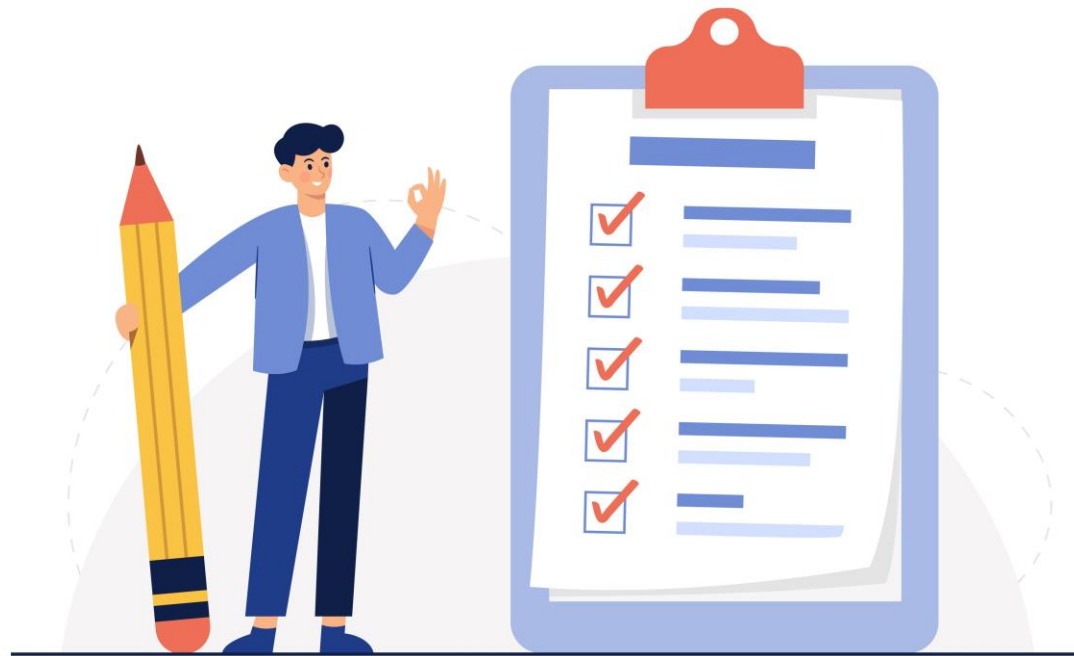
Disclosing the general AI methodology



Providing presentations to explain Travel Predict's recommendations

Conclusion to Forecasting Cards Used for Travel

VISA has significantly bolstered public confidence and trust by actively incorporating principles into its AI governance processes.



The consistent alignment of procedures has further contributed to this positive outcome.



As a result, the company is making notable progress toward its goal of establishing a trusted and responsible data-sharing and AI ecosystem for all stakeholders.

Discuss

Discuss the following:

1. Out of all the practices you observed, which practice do you think is most critical for VISA?
2. Do you suggest any area of improvement for VISA to make the governance more robust?



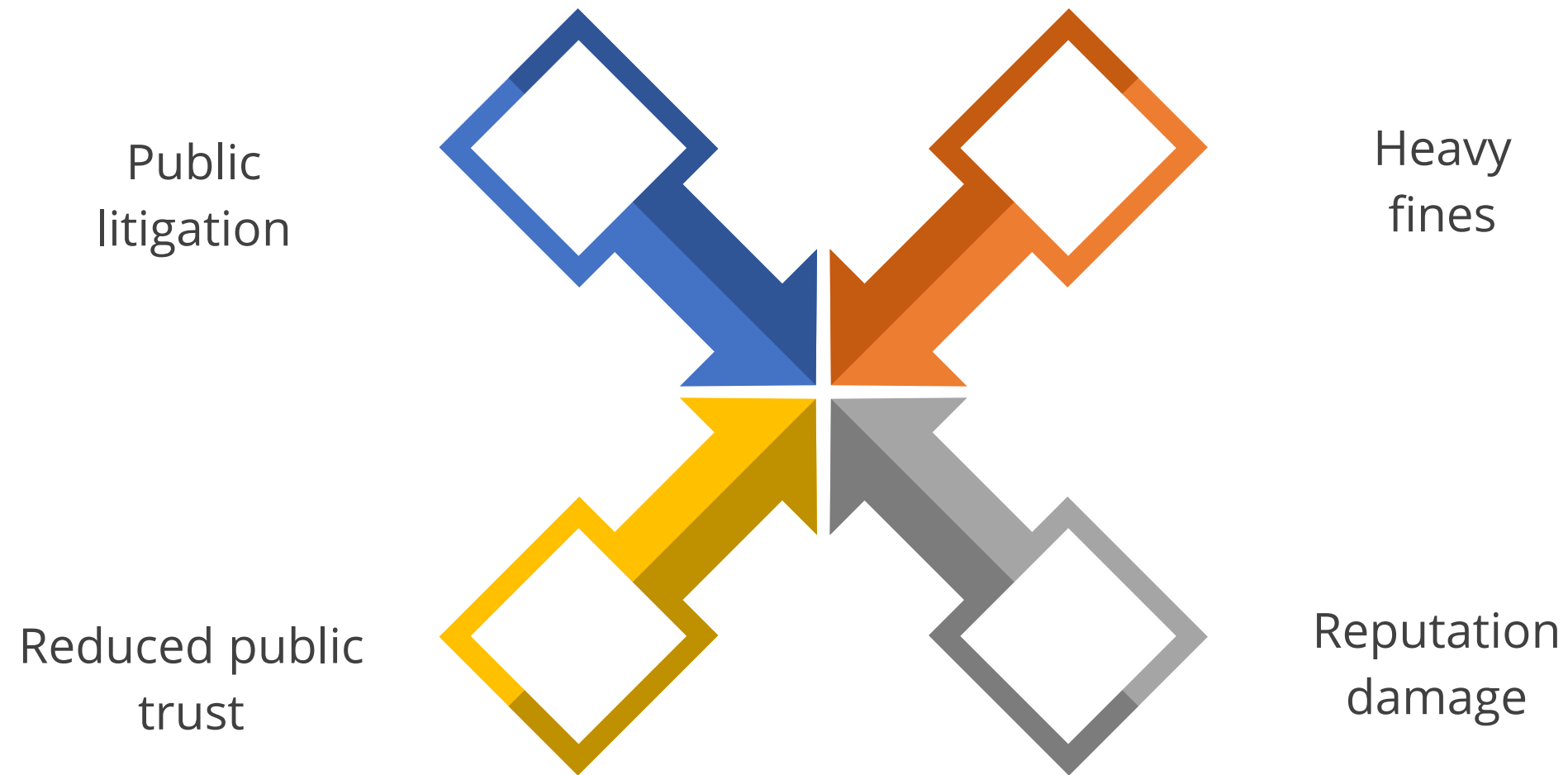


AI and Legal Risk

Why Care about Legal Risk?

The rapid expansion of generative AI has led organizations to embrace AI risk assessments.

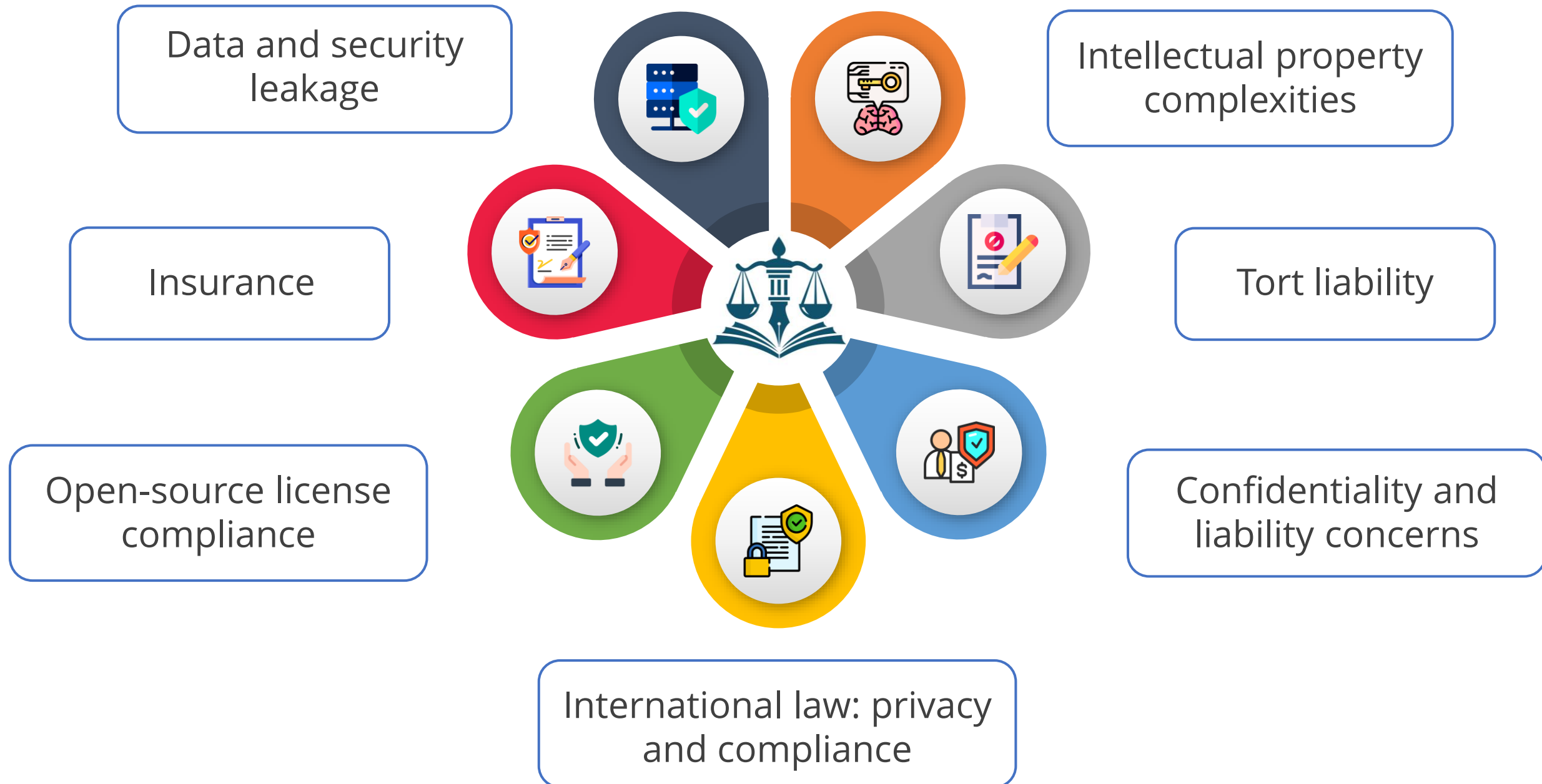
AI legal issue consequences include:



Prioritizing the resolution of legal issues is essential to minimize these risks.

AI Legal Issues

Below are typical legal issues associated with AI:



Data and Security Leakage

The challenges include:



- Integrating sensitive third-party or internal company information into AI systems may incorporate it into the AI model.
- It may potentially make it accessible to others through relevant queries.
- This practice may violate an organization's data retention policy due to inherent AI security risks.

Data and Security Leakage

The challenges can be addressed through:



- Understanding the terms and conditions of the usage of AI-based systems carefully
- Taking extreme care when using open-source tools and not inputting any sensitive information

Intellectual Property Complexities

The challenges include:



- Determining ChatGPT-generated code or text ownership is intricate.
- According to terms of service, the responsibility for output lies with the input provider.
- Generating material from copyrighted content with AI can result in compliance rule violations and increased legal risk.

Intellectual Property Complexities

The challenges can be addressed through:



- Creating thorough documentation for AI development processes
- Using thorough tracking systems to identify origins and ensure compliance
- Working with legal experts to align with intellectual property laws and reduce dispute risks

Open-Source License Compliance

The challenges include:



- Utilizing open-source libraries in products with generative AI may violate OSS licenses (e.g., GPL), posing legal risks.
- Generating code with tools like ChatGPT without clarity on training data sources can breach open-source licenses.
- Potential consequences include legal complications, accusations of license infringement, and the possibility of legal action from the open-source community.

Open-Source License Compliance

The challenges can be addressed through the following:



- Organizations must carefully check and record where AI training data comes from to follow open-source licenses.
- It's vital to set up effective tracking systems.
- Ensuring proper credit is important for following rules.
- Getting legal advice is a good idea to follow open-source licenses and handle compliance problems.

Confidentiality and Liability Concerns

The challenges include:



- Sharing confidential customer or partner information breaks contracts and legal duties.
- If ChatGPT's security is compromised, private content is at risk, harming the organization's reputation and causing legal issues.
- Employees using ChatGPT without training or IT approval risk unauthorized AI use.
- This unapproved usage makes it hard to monitor and control the AI tool's use.

Confidentiality and Liability Concerns

The challenges can be addressed through the following:



- Strong security measures such as encryption and access controls are crucial.
- Having clear rules on data handling and training lowers risks.
- Seeking legal advice helps follow the rules, reduce potential problems, and protect secret data.

Unclear International Law: Privacy and Compliance

The challenges include:



- Cybercriminals can make malware, create content for phishing scams, and carry out cyberattacks with dark web data using generative AI.

Unclear International Law: Privacy and Compliance

The challenges can be addressed through:



- Keeping up with changing international laws on AI privacy means monitoring new regulations regularly.
- Work with legal experts to make adaptable policies that match global privacy standards.

Tort Liability (Bias)

The challenges include:



- If the AI makes mistakes, acts carelessly, or shows bias that hurts someone, the organization might have to pay for damages.
- Organizations must check the AI's accuracy, making sure it's precise, truthful, complete, and works well.

Tort Liability (Bias)

The challenges can be addressed through the following:



- Dealing with AI liability means making clear rules for AI development, teaching users, and checking risks often.
- Lawyers help follow laws, lowering possible risks.

Insurance

The challenges include:



- Organizations need insurance to deal with liability claims in these legal areas.
- Normal non-profit liability and commercial liability policies might not be enough.
- Looking into liability or media insurance gaps is important for better coverage.

Insurance

The challenges can be addressed through the following:



- To deal with AI insurance problems, organizations should check risks, record AI system making, and get special insurance.
- Get legal advice to ensure coverage matches changing technology.

Quick Check



Which of the following is a significant concern associated with the rapid expansion of generative AI, according to the provided content?

- A. Public litigation
- B. Increased efficiency in business operations
- C. Enhanced customer satisfaction
- D. Higher profitability margins



AI Governance Road Ahead

Plan for Creating and Executing an AI Governance Framework

The roadmap for creating and executing an AI governance framework includes the following:



Appoint AI governance committee

- ✓ Form a cross-functional team with diverse skills, backgrounds, and experience.
- ✓ Consider including external experts.
- ✓ Define roles and responsibilities for AI governance and oversight.

Plan for Creating and Executing an AI Governance Framework

The roadmap for creating and executing an AI governance framework includes the following:



Understand current state

- ✓ Create an inventory of AI deployment and use of AI outputs.
- ✓ Identify existing arrangements with AI service providers.
- ✓ Obtain legal advice on AI legal and regulatory requirements.
- ✓ Undertake AI risk assessment.

Plan for Creating and Executing an AI Governance Framework

The roadmap for creating and executing an AI governance framework includes the following:



Create AI guiding principles and set AI risk tolerance



Undertake gap analysis and create roadmap for uplift

Plan for Creating and Executing an AI Governance Framework

The roadmap for creating and executing an AI governance framework includes the following:



Create or uplift artefacts

- ✓ Handle design, development, testing, deployment, and monitoring.
- ✓ Establish a technology usage policy to address AI risks.
- ✓ Implement a supplier engagement policy to mitigate AI-related risks.
- ✓ Develop an intellectual property and confidentiality policy addressing AI risks.

Plan for Creating and Executing an AI Governance Framework

The roadmap for creating and executing an AI governance framework includes the following:



Create or uplift artefacts

- ✓ Develop an AI incident response plan.
- ✓ Create an AI risk assessment template.
- ✓ Draft privacy policy and consumer terms for marketing collateral.
- ✓ Provide additional documentation for transparency and interpretability of AI tools.

Plan for Creating and Executing an AI Governance Framework

The roadmap for creating and executing an AI governance framework includes the following:



Create or update processes to:

- ✓ Handle consumer complaints and inquiries regarding AI model use.
- ✓ Conduct an annual AI inventory review with human oversight.
- ✓ Monitor compliance with the AI framework.
- ✓ Enable early detection, escalation of issues, and briefing of the board.

Plan for Creating and Executing an AI Governance Framework

The roadmap for creating and executing an AI governance framework includes the following:



Implement security controls

- ✓ Safeguard against unauthorized access or misuse of AI models and training data and protect the value of AI-generated outputs.

Plan for Creating and Executing an AI Governance Framework

The roadmap for creating and executing an AI governance framework includes the following:



Educate and increase awareness

- ✓ Develop an AI training program.
- ✓ Conduct tabletop exercises for AI incidents.

Plan for Creating and Executing an AI Governance Framework

The roadmap for creating and executing an AI governance framework includes the following:



Review, uplift, and provide ongoing advice

- ✓ Track and influence the changing regulatory landscape.
- ✓ Regularly revise incident response plans and playbooks and adapt to incidents.
- ✓ Offer on-demand legal and compliance guidance.
- ✓ Perform post-incident evaluations and implement remedies.
- ✓ Provide counsel on third-party claims and litigation matters.

Quick Check



Which of the following is a key function of governance in managing the regulatory landscape and addressing incidents related to generative AI?

- A. Reviewing incident response plans and playbooks regularly
- B. Offering on-demand legal and compliance guidance
- C. Providing counsel on third-party claims and litigation matters
- D. Tracking and influencing changing technological advancements

Guided Practice



Overview

Duration: 20 minutes

In this activity, examine how XYZ Tech Solutions is creating a generative AI system for marketing content. While aiming to enhance client campaigns, they prioritize implementing robust governance measures for ethical AI use.

Note

Please download the solution document from the **Reference Material**.

Key Takeaways

- Generative AI can create content that is indistinguishable from human-generated content.
- Generative AI may involve the processing of sensitive data for training or content generation, raising concerns about privacy violations and unauthorized use of personal information.
- The AI governance committee includes representatives from key functional areas of the organization like legal, risk, product management, and more.
- Legal issues with AI include data security, insurance, open-source licenses, international privacy laws, liability, tort liability, and intellectual property complexities.



Additional Resources



- Good AI governance practices and AI ethics sources: <https://www.forbes.com/sites/cindygordon/2023/10/30/what-are-good-ai-governance-practices-and-ai-ethics-sources-3/?sh=c8b83314fc34>
- Singapore's approach to AI governance: <https://www.pdpc.gov.sg/Help-and-Resources/2020/01/Model-AI-Governance-Framework>
- Ethical and legal issues of AI technology and its applications: <https://ijlljs.in/wp-content/uploads/2021/07/Artificial-intelligence-ethical-and-legal-issues-and-its-application-converted.pdf>
- Seven AI legal issues and how to deal with them: <https://www.walkme.com/blog/ai-legal-issues/>

Q&A

